

You need to work on presentation and marketing. If you have solid simulations for your strategies, use the charts and data in your material. Make professional-looking fact sheets that describe your philosophy and strategy, showing exactly why your product is so well positioned for this particular market and why your strategy is stronger than the established competitors.

Don't underestimate the difficulty and the amount of work needed to raise the initial seed money for your business. This can be a colossal task that can make or break your whole project. It often comes down to connections and friends in the market who can help you by putting up some initial cash and if you lack such connections, you may find yourself having tough time. Even if you have a great strategy, a proven track record with individual accounts and a strong personal reputation in the markets, you are still very vulnerable in this phase and you may be forced to make deals against your better judgement, such as paying a yearly fee for referred funds, in order to secure enough seed capital to make a fund launch possible.

Volatility Profile

Volatility is the currency used to buy performance. If customers don't get what they pay for, they will leave very quickly. There simply is no loyalty in this business and that is probably a good thing in a strictly Darwinian sense. An old adage states that there is no such thing as a third bad year for a hedge fund; after the second bad year all the investors are gone and the fund is out of business.

In your strategy simulations as well as in your live trading, you need to pay attention not only to the overall return numbers but also to the drawdowns and volatility. Try to simulate realistically what your maximum drawdown would have been trading with the same strategy for the past 30 years, and then assume that something much worse will happen after your fund or trading product is launched. Drawdown is defined as your current loss from the highest historical reading of the fund or strategy. If you gain 20% in the first three months of the year, and then back down to +10% on the year in the next three months, you are in an 8.3% drawdown despite being up 10% year to date.

You need to be aware what magnitudes of drawdowns are normal for your strategy and how long it normally takes to recover, and of course what the longest recovery time was in the simulations. Even if your drawdown was not big, it is hard to retain clients if it takes years to reach a new peak. Remember that investors may come in at any time during the year, normally